

compared against the selling price, would be sufficient to gauge the margin of safety.

Financial analysis is not an exact science, Graham reminded us. To be sure, certain quantitative factors lend themselves to thorough analysis: balance sheets, income statements, assets and liabilities, earnings, and dividends. We must not, however, overlook certain qualitative factors that are not easily analyzed but are nonetheless essential ingredients in determining a company's intrinsic value. Two of these are management capability and the nature of the business. The issue for Graham was: How much attention should be paid to them?

He had misgivings about the emphasis placed on qualitative factors. Opinions about management and the nature of a business are not easily measured, and that which is difficult to measure can be badly measured. Optimism over qualitative factors often found its way to a higher multiplier. Graham's experience led him to believe that, to the extent investors moved away from hard assets and toward intangibles, they invited a potentially risky way of thinking. If, on the other hand, a greater amount of a company's intrinsic value is the sum of measurable, quantitative factors, Graham figured that the investor's downside was more limited. Fixed assets are measurable. Dividends are measurable. Current and historical earnings are measurable. Each of these factors can be demonstrated by figures and becomes a source of logic referenced by actual experience.

Make sure of your ground, said Graham. Start with net asset values as the fundamental departure point. If you bought assets, your downside was limited to the liquidation value of those assets. Nobody, he reasoned, can bail you out of optimistic growth projections if those projections are unfilled. If a company was perceived to be an attractive business and its superb management was predicting high future earnings, it would no doubt attract a growing number of stock buyers. "So they [investors] will buy it," said Graham, "and in doing so they will bid up the price and hence the price to earnings ratio. As more and more investors become enamored with the promised return, the price lifts free from underlying value and floats freely upward, creating a bubble that expands beautifully until it must finally burst."⁶